

MECHANICS BANK v STAI, et al

24CV47395

PLAINTIFF'S MOTION FOR SUMMARY JUDGMENT/ADJUDICATION

This civil action stems from a lending agreement between Mechanics Bank ("Plaintiff") and Jeff and Mary Stai, individually and as Trustees of the Stai Family Trust, dated December 4, 2001 ("Defendants.")

Now before the Court is Plaintiff's motion for summary judgment. The motion is unopposed.

I. Background

Plaintiff is the successor in interest to the loan at issue in this case. (UMF 2.) Jeff Stai and Mary Stai are trustees of the Stai Family Trust, dated December 4, 2001 (the "Stai Family Trust") (UMF 3.) On October 18, 2004, Plaintiff and the Stai Family Trust entered into a Business Loan Agreement, whereby Plaintiff agreed to lend \$2,546,000 to the Stai Family Trust on the terms and conditions set forth therein ("Loan.") (UMF 4.) The Stai Family Trust used the proceeds to acquire a 120-acre vineyard and winery located in Vallecito, CA (the "Property") that is owned and operated by Twisted Oak Winery, LLC. (UMF 5.)

On October 18, 2004, Defendants executed and delivered to Plaintiff a Promissory Note ("Note") evidencing the Loan. (UMF 6.) The Note required that the Stai Family Trust make payments to Plaintiff every month until October 18, 2033 (the "Maturity Date"), at which time the entire outstanding balance of principal and accrued interest, together with any other unpaid amounts under the Note, would be due and payable in full. (UMF 7.) Pursuant to the Note, an "Event of Default" occurs when "Borrower fails to make any payment when due under this Note." (UMF 8.)

Prior to the disbursement of the loan proceeds, Jeff Stai and Mary Stai were each required to, and did, deliver to Plaintiff, a Commercial Guaranty in their individual capacities. (UMF 9.) Plaintiff disbursed the loan proceeds pursuant to the Business Loan Agreement and the Note, and in reliance on the Commercial Guarantees. (UMF 11.)

On August 23, 2013, Plaintiff and the Stai Family Trust entered into a Change in Terms Agreement, whereby Plaintiff agreed to modify and amend the Loan by, among other things, deferring outstanding interest and changing the interest rate applicable to the

Loan. Except as specifically modified in the Change in Terms Agreement, all other terms as set forth in the original Loan documents remain in full force and effect. (UMF 12.) Defendants also signed a Guarantor's Acknowledgment of the Change in Terms Agreement. (UMF 13.)

On October 4, 2021, Twisted Oak Winery, LLC filed for bankruptcy protection under Subchapter V of Chapter 11 of the United States Bankruptcy Code. (UMF 14.) On July 17, 2023, the United States Bankruptcy Court for the Eastern District of California entered an order confirming the First Modified Subchapter V Plan filed by Twisted Oak Winery, LLC (the "Plan"). (UMF 15.) Pursuant to the Plan, the Loan principal shall be paid in full with interest at 5.75% per annum on 30 years amortization with a January 1, 2033 maturity date; interest and principal payments of \$10,836.86 per month commencing October 1, 2022 and continuing for 123 months; and a balloon payment for the remaining balance due January 1, 2023. (UMF 15.) In addition, it also provides that accrued pre-petition interest of \$459,022.28 shall be paid in full with 0% interest per annum in the amount of \$1,000 per month, commencing October 10 2022, then a balloon payment for the remaining balance due January 1, 2033. Moreover, the sum of (i) foreclosure fees of \$16,149.76, (ii) legal expenses through September 30, 2022, of \$43,126.20, (iii) appraisal fee of \$6,500, and (iv) prior, suspended interest of \$109,075 shall be paid upon maturity. (*Ibid.*)

Defendants and Twisted Oak Winery, LLC failed to make the payment that was due under the Note on March 1, 2024, or any payment that came due thereafter. (UMF 16.) By letter dated April 10, 2024, Plaintiff provided Defendants with written notice of their defaults under the Note, and of Plaintiff's intent to take immediate action to enforce its right to repayment. Plaintiff accelerated the indebtedness. (UMF 17.)

On January 31, 2025, in the related case of *Mechanics Bank v. Twisted Oak Winery, LLC* (Calaveras County Superior Court Case No. 25CV47803), this Court entered an order appointing Peter F. Martin as receiver of the vineyard Property. (UMF 18.) The Court's order also provided that if there were insufficient funds in the receivership estate for the expenses of the receivership, then such expenses may be paid by Mechanics Bank or advanced to the receiver by Mechanics Bank, and the receiver shall issue certificates of indebtedness to Mechanics Bank in the amount of any such payments or advance. (UMF 18.)

As of January 13, 2026, \$2,826,382.91 was due and owing to Mechanics Bank by the Stai Family Trust, and by Jeff Stai and Mary Stai, as Guarantors. (UMF 19.)

II. Legal Standard

Summary judgment is proper when there are no triable issues of material fact, and the moving party is entitled to a judgment as a matter of law. (Code Civ. Proc., § 437c(c).)

A plaintiff may move for summary judgment when the plaintiff contends there is no defense to the cause of action. (Code Civ. Proc., § 437c, subd. (a).) A plaintiff meets the

burden of showing there is no defense by proving each element of the cause of action. (Code Civ. Proc., § 437c, subd. (p)(1).) A plaintiff moving for summary judgment is not required to disprove any defense asserted by the defendant in addition to proving each element of the plaintiff's own cause of action. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 853.) If the plaintiff meets its burden, then the burden shifts to the defendant to show the existence of a triable issue of material fact. (*Ibid.*) The moving party bears the burden of persuasion that there is no triable issue of material fact and that she is entitled to adjudication as a matter of law. (*Id.* at 850.)

III. Discussion

A. Breach of Promissory Note

The elements of a cause of action for breach of contract are: (1) existence of a contract; (2) plaintiff's performance of its obligations under the contract or excuse for nonperformance; (3) defendant's breach of the contract; and (4) resulting damages proximately caused by defendant's breach. (*Reichert v. Gen. Ins. Co.* (1968) 68 Cal.2d 822, 830,)

Here, Plaintiff has produced evidence that the Defendants, in their capacity as trustees, executed the Note. (UMF 7.) The Plan provided that the Loan principal shall be paid in full with interest at 5.75% per annum on 30 years amortization with a January 1, 2033 maturity date; interest and principal payments of \$10,836.86 per month commencing October 1, 2022, and continuing for 123 months. (UMF 15.) Thus, Plaintiff has shown the existence of a contract.

Next Plaintiff has produced evidence that it performed its obligations under the contract by funding the Loan which was used by Defendants to purchase the winery property. (UMF 5, 11.)

Third, Plaintiff has produced uncontroverted evidence that Defendants ceased making payments on the Loan or Plan. (UMF 16.)

Finally, Plaintiff has shown that it has suffered damages by virtue of the Defendants' breach in the amount of in the amount of \$2,764,823.37, with interest accruing on the unpaid balance at the rate of \$291.85 per day.

Defendants did not file an opposition and therefore have not carried their burden of showing the existence of any material fact.

Accordingly, **summary judgment on the cause of action for breach of promissory note is GRANTED.**

B. Breach of Guaranty

The elements of a cause of action for breach of guaranty are: (1) a valid guaranty, (2) the borrower has defaulted, and (3) the guarantor failed to perform under the guaranty. (*Gray] CPB, LLC v. Kolokotronis* (2011) 202 Cal.App.4th 480, 486.)

Plaintiff has produced evidence of a valid guaranty (UMF 10, 13), that the borrower defaulted on the guaranty (UMF 16) and the guarantors have failed to perform under the guaranty. (UMF 17.)

Defendants did not file an opposition and therefore have not carried their burden of showing the existence of any material fact disputing plaintiff's UMFs.

Accordingly, **summary judgment on the cause of action for breach of guaranty is GRANTED.**

The Settlement Conference scheduled for 9/14/26 is VACATED; an OSC re Status of Judgment is scheduled for June 17, 2026, at 1:30 p.m. in Dept. 4.

The clerk shall provide notice of this ruling to the parties forthwith. Defendants to submit a formal Order and Judgment complying with Rule 3.1312 in conformity with this Ruling.

TYRE v TYRE

25CV48174

PLAINTIFF'S MOTION FOR PARTITION SALE

This is a dispute seeking partition of personal property ("Mobile Home") brought by Ethan Tyre ("Plaintiff") against Brianna Tyre ("Defendant.") Both parties represent themselves pro se.

Now before the Court is Plaintiff's Motion for Partition Sale. Plaintiff also requests the appointment of a referee to handle the partition and sale of the Mobile Home.

I. Background

Plaintiff filed his Complaint for Partition on July 24, 2025. Defendant denied the allegations in her Answer. The parties have engaged in discovery and have not been able to resolve the matter. (Declaration of Ethan Tyre ("E. Tyre Decl.") A mandatory settlement conference in this case is set for August 24, 2026.

II. Legal Standard and Discussion

A co-owner of real or personal property may bring an action for partition. (Code Civ. Proc. § 872.210.) " 'Partition is a remedy much favored by the law.'" (*LEG Investments v. Boxler* (2010) 183 Cal.App.4th 484, 493 [citation omitted].) Partition not only allows parties to avoid the inconvenience of sharing joint possession of land, but also avoids " 'unreasonable restraints on the use and enjoyment of property.' [citation]" (*Ibid.*) "A co-owner of property has an absolute right to partition unless barred by a valid waiver." (*LEG Investments*, supra 183 Cal.App.4th at 493, citing Code Civ. Proc. § 872.710(b).)

As a rule, the law generally favors partition in kind since this does not disturb an inheritance or force a person to sell his property. (*Cummings v. Dessel* (2017) 13 Cal.App.5th 589, 597.) However, where – as here – the partition of the property is impracticable, the Court may order partition by sale of the entire property. (*Ibid.*)